CHAPTER 8

ANALYSIS OF FINANCIAL STATEMENTS

CHAPTER ESSENCE AT A GLANCE:
Evaluate enterprise performance, solvency, and operational trends using comparative financial statements, common size statements, and financial analysis tools.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Comparative Analysis Dynamics:** Horizontal analysis comparing balance sheets and income statements across successive financial years, measuring absolute change and percentage change.

• **Common Size Vertical Proportions:** Vertical analysis converting financial statement line items into relative percentages of a common base (Total Assets for Balance Sheet; Revenue from Operations for Income Statement).

• **Analytical Objectives and Utility:** Identifies operating trends, cost structure distortions, working capital vulnerabilities, and earning capacity for investors, lenders, and executives.

• **Inherent Limitations of Financial Analysis:** Suffers from historical cost valuation ignoring price-level inflation, susceptibility to window dressing, and omission of vital non-monetary human capital.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Comparative Percentage Change} = \frac{\text{Absolute Change in Amount}}{\text{Base Year Amount}} \times 100$$

Horizontal Comparative Statement Change Formula

$$\text{Common Size Balance Sheet } \% = \frac{\text{Individual Item Amount}}{\text{Total Assets or Total Equities}} \times 100$$

Vertical Common Size Balance Sheet Base Proportion

$$\text{Common Size Income Statement } \% = \frac{\text{Individual Income or Expense Head}}{\text{Revenue from Operations}} \times 100$$

Vertical Common Size Revenue from Operations Benchmark

$$\Delta\text{Working Capital} = \text{Current Assets}_{\text{CY}} - \text{Current Liabilities}_{\text{CY}} - \text{Working Capital}_{\text{BY}}$$

Periodic Working Capital Comparative Variation

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** In Comparative Statements, the base year is always the earlier preceding year, never the current year.

• **Alert:** In Common Size Balance Sheet, Total Assets (or Total Equities & Liabilities) is taken as 100 percent.

• **Alert:** In Common Size Statement of Profit and Loss, Revenue from Operations is taken as 100 percent; Other Income is expressed as a percentage of Revenue from Operations.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. What is meant by Financial Statement Analysis? State any two primary objectives. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** The process of critically examining, classifying, and comparing financial statement figures to evaluate operational health and earning capacity. **[1 Mark]**

• **Objectives:** (1) To assess the long-term solvency and debt-servicing capacity, (2) To measure profitability and managerial operating efficiency. **[1 Mark]**

2. Distinguish between Horizontal Analysis and Vertical Analysis. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Horizontal Analysis:** Evaluates financial statements across multiple consecutive years (dynamic comparative analysis, e.g. comparative statements). **[1 Mark]**

• **Vertical Analysis:** Evaluates financial data of a single year by expressing each item as a percentage of a common base (static analysis, e.g. common size statements). **[1 Mark]**

3. State any three major limitations of Financial Statement Analysis. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Historical Cost Bias:** Financial figures are recorded at historical cost, completely ignoring changes in price levels and inflationary distortions. **[1 Mark]**

• **Window Dressing Risk:** Subjective managerial manipulation of figures (such as deferred expenses or delayed write-offs) presents a misleadingly favorable picture. **[1 Mark]**

• **Ignores Qualitative Factors:** Important determinants like labor relations, product quality, and managerial competence are omitted from analysis. **[1 Mark]**

4. From the following details, prepare a Comparative Statement of Profit and Loss for the years ended 31st March 2023 and 2024: Revenue from Operations: 2022-23 Rs 8,00,000; 2023-24 Rs 10,00,000. Expenses: 2022-23 Rs 5,00,000; 2023-24 Rs 6,00,000. Tax rate 30 percent. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Revenue from Operations:** Absolute change = +Rs 2,00,000; Percentage change = (Rs 2,00,000 divided by Rs 8,00,000) * 100 = +25.0 percent. **[1 Mark]**

• **Expenses:** Absolute change = +Rs 1,00,000; Percentage change = (Rs 1,00,000 divided by Rs 5,00,000) * 100 = +20.0 percent. **[1 Mark]**

• **Profit Before Tax:** 2022-23: Rs 3,00,000; 2023-24: Rs 4,00,000. Absolute change = +Rs 1,00,000; Percentage change = +33.33 percent. Net Profit After Tax (70 percent): Rs 2,10,000 to Rs 2,80,000 (+33.33 percent). **[1 Mark]**

5. Explain the significance of Common Size Statements in conducting inter-firm and intra-firm comparisons. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Elimination of Size Differences:** Converting absolute monetary values into percentages allows fair comparison between companies of vastly different scale. **[1.5 Marks]**

• **Structural Insight:** Highlights changes in the proportional composition of assets, liabilities, and operating cost ratios over successive periods. **[1.5 Marks]**

6. From the following data, prepare a Common Size Statement of Profit and Loss for the year ended 31st March 2024: Revenue from Operations Rs 5,00,000; Cost of Materials Consumed Rs 2,50,000; Employee Benefit Expenses Rs 1,00,000; Other Expenses Rs 50,000. **[Score: 3 Marks]**

Answer & Key Valuation Steps:

• **Revenue from Operations Base:** Rs 5,00,000 = 100.0 percent. **[0.5 Mark]**

• **Cost Percentages:** Cost of Materials Consumed = (Rs 2,50,000 divided by Rs 5,00,000) * 100 = 50.0 percent; Employee Benefits = (Rs 1,00,000 divided by Rs 5,00,000) * 100 = 20.0 percent; Other Expenses = (Rs 50,000 divided by Rs 5,00,000) * 100 = 10.0 percent. Total Expenses = 80.0 percent. **[1.5 Marks]**

• **Profit Before Tax:** Rs 1,00,000 = (Rs 1,00,000 divided by Rs 5,00,000) * 100 = 20.0 percent of Revenue from Operations. **[1 Mark]**

7. From the following Balance Sheet extracts, prepare a Comparative Balance Sheet of Surya Ltd: Shareholders' Funds: 2023 Rs 12,00,000, 2024 Rs 15,00,000; Non-Current Liabilities: 2023 Rs 6,00,000, 2024 Rs 5,00,000; Current Liabilities: 2023 Rs 2,00,000, 2024 Rs 4,00,000. Total Liabilities: 2023 Rs 20,00,000, 2024 Rs 24,00,000. **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **Shareholders' Funds:** Absolute Change = +Rs 3,00,000; % Change = (Rs 3,00,000 divided by Rs 12,00,000) * 100 = +25.0 percent. **[1 Mark]**

• **Non-Current Liabilities:** Absolute Change = -Rs 1,00,000; % Change = (-Rs 1,00,000 divided by Rs 6,00,000) * 100 = -16.67 percent. **[1 Mark]**

• **Current Liabilities:** Absolute Change = +Rs 2,00,000; % Change = (Rs 2,00,000 divided by Rs 2,00,000) * 100 = +100.0 percent. **[1 Mark]**

• **Total Liabilities:** Absolute Change = +Rs 4,00,000; % Change = (Rs 4,00,000 divided by Rs 20,00,000) * 100 = +20.0 percent. **[1 Mark]**